ECONOMIC STRESS THAT TRIGGERED THE ANGER

An economy stuck in low gear, stark inequalities, scarce jobs and over-dependence on remittances have left Nepal's young generation restless and angry

POVERTY AND DISPARITY

One in five Nepalis still lives in poverty, while the richest 10% take home over six times the income share of the poorest tenth

29.6 MILLION Total population (2024)

20.3% Share of population living below poverty line (2022)

SHARE IN TOTAL HOUSEHOLD INCOME (2022)



3.7% Poorest 10%

24% Richest 10%

SOARING UNEMPLOYMENT

More than 1 in 10 of the labour force are unemployed, with joblessness among the youth soaring to 20.8%

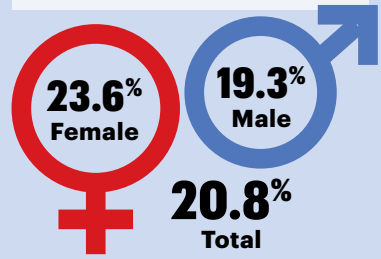
8.4 MILLION Labour force* (2024)

10.8% Unemployment rate** (2024)

**No. of people aged 15 or above who are employed or seeking work*

***% of the labour force seeking employment*

YOUTH UNEMPLOYMENT RATE (ages 15-24; in 2024)



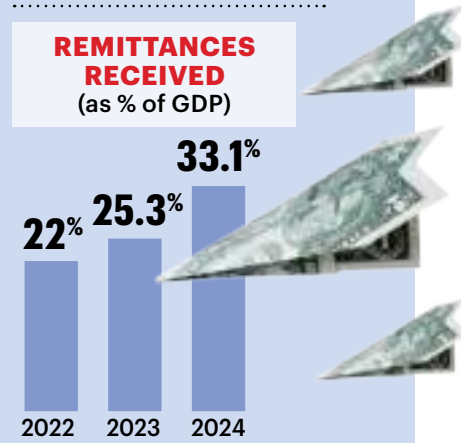
EXODUS ECONOMY

Nepal's fledgling economy remains heavily dependent upon remittances being sent home by its diaspora

4.5 MILLION Nepalis estimated to be living abroad

$14.2 BILLION Total remittances received (2024)

REMITTANCES RECEIVED (as % of GDP)



Sources: World Bank, IMF's World Economic Outlook (April 2025); CIA's The World Factbook

India's favour, which enjoyed a massive surplus of $6.1 billion. Apart from trade, India buys hydroelectric power from Nepal, has provided a pipeline for oil supply to Nepal saving it crores of rupees in transportation and is involved in providing aid for a range of development projects from education to healthcare.

For India, experts say, the game is patient engagement: border management and humanitarian readiness along the open frontier; granular outreach to new political forces and civil society; and steady execution of power and infrastructure commitments. "Support the aspirations of the people…reach out to civil society…keep our programmes going—but don't micromanage formations," advises one seasoned diplomat. Loud credit-claiming will harm what quiet help can heal.

WHAT NEXT?

The most realistic near-term path is a narrow-mandate caretaker: stabilise law and order, restore services, lift blanket digital bans and replace them with lawful, transparent engagement; create a credible timeline for elections; and audit the use of force that killed so many. On the economic front, the caretaker regime should accelerate hydropower milestones; fast-track cross-border power trade; expand vocational pipelines linked to actual placement; and craft a diaspora-friendly reintegration for returnees with capital or skills. Elite excesses must be confronted too, not with vindictive arrests but with institutional reforms that make graft harder and punishment real and institute credible accountability.

The current moment's paradox is that stability requires restraint: by the army (which has, so far, signalled it), by the young (who have more than earned a hearing), by parties (that must open space for the young without staging comebacks through chaos) and by neighbours (who must avoid making Nepal a chessboard again). "From the ashes will emerge something stronger and better: more democracy," says an expert. It is a hope as much as a forecast. ■